Canada Exposure to U.S. Section 338 Measures

Prepared as Part of the Written Assessment Trade Data Scientist Recruitment: Question 2

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Methodology

- Statistics Canada 2025 domestic exports to the United States were aggregated at the harmonized HS6 level across all 13 provinces and territories. Canada exported CAD 517.28 billion in total (Attachment Q2-1).
- The partial tariff-code screen uses available original-proclamation samples and September 2026 amendments. U.S. HTS8 codes are reduced to HS6; tariff measures are kept separate from import prohibitions. The original annexes and amendments are not yet fully reconciled.
- Screening intensity equals the value of 2025 exports in screened HS6 categories divided by all 2025 U.S.-bound domestic exports for the province, multiplied by 100. HS4 intensity uses the same numerator and all U.S.-bound exports in that HS4 as denominator.
- Because an HS6 category may include uncovered HTS8 or HTS10 lines, screening is a category-level proxy, not precise tariff coverage, duties collected or trade losses. Certified total exposure is withheld pending a complete active legal list (Attachments Q2-2 to Q2-4).

Analysis

- Ontario led 2025 domestic exports to the United States at CAD 190.32 billion, followed by Alberta at CAD 152.04 billion and Quebec at CAD 84.34 billion. These are trade denominators, not tariff exposure (Attachment Q2-1).
- The incomplete HS6 category screen totals CAD 6.62 billion nationally. Ontario contributes CAD 3.48 billion and Quebec CAD 2.01 billion. This figure must not be described as total Section 338 exposure or a verified lower bound (Attachment Q2-2).
- Alberta has CAD 181.29 million of screened category exports, or 0.119% of its U.S.-bound exports. This contrasts with Ontario at 1.83% and Quebec at 2.39%, but only within the same incomplete product screen (Attachment Q2-2).
- Alberta screened HS4 categories are led by furniture (9403, CAD 64.98 million), iron or steel structures (7308, CAD 58.72 million) and aluminium bars or profiles (7604, CAD 27.40 million). These are category-level screening amounts (Attachment Q2-3).
- The legal reconciliation still shows 82 known amendment additions, eight unmatched removals and an incompletely extracted original tariff universe. A separate import-prohibition event must not be counted as a tariff (Attachment Q2-4).
- Senior decision-makers should use these results to prioritize legal verification and sector outreach, not to estimate duty costs or compensation. A defensible final national and provincial exposure estimate requires complete tariff-line validation.
- Economic implications: Alberta's current screened share is relatively small, but affected manufacturers may face concentrated cost and competitiveness pressures. Prioritize outreach to identified sectors and maintain tariff-response readiness.
- Direction for future Work: Reconcile the complete active U.S. tariff lines and refine HS6 exposure estimates before final policy costing.